

Resource management

Warm up

Why do we need to manage resources in the health system?

Qs

What are the types of health resources?

Why do we need to manage resources in the health system?

Introduction

Resource management is concerned with the **efficient** and **effective utilization** of

- Human resource
- Finance
- Materials /equipment
- Drug
- Space/buildings
- Time

Human Resource Management

It is the process of an **ongoing procedure** that tries to **keep the organization supplied with**

- **the right people**
- **in the right position,**
- **when they are needed.**

Human Resource Management

HRM includes

- *Planning*
- *Recruitment*
- *Selection*
- *Training and development*
- *Performance appraisal*
- *Promotions, transfers, demotions, and separations*

Human Resource Planning

- It is **planning for the future personnel needs** of an organization required **to meet its over all goals**

Planning procedures

- Planning for the **future needs** -deciding how many people with skills the organization will need.
- Planning to **ensure that the right number of employees** to are available without *overstaffing* or *understaffing*.
- Planning for **recruiting**
- Planning for the **development of employees**, -training

Recruitment

Recruitment is a process of *searching out the potential applicants* and *inspiring them to apply* for the actual or anticipated vacancy.

Recruitment

It includes

- **Job description** -is a written account of all the *duties*, *responsibilities*, purpose, scope, and working conditions of a job along with the job's title
- **Job specification** - is a written description of the *education*, *experience*, and skills needed to perform a job or fill a position effectively

Sources for recruitment

1. **Internal sources** or recruitment from within (peer recruitment).
2. **External sources** or recruitment from outside

Methods of recruitment

- **Direct methods**-from educational & professional training *institutes*
- **Indirect methods**-formal *advertisement, referrals, announcement* using mass media (radio, news paper...)
- **Third party methods**-using commercial or private employment *agencies*, state agencies, professional associations.

Legal considerations during recruitment

- **Prohibiting discrimination** by race, sex, age, color, national origin
- **Equal benefits** for equal jobs.
- **Affirmative action:** for female and minorities

Discussion question

Suppose a private hospital wants to recruit one medical doctor. The hospital would like to encourage female applicants. In the final round of selection, two candidates are shortlisted-

- one male candidate with CGPA=3.85 and 8 years of work experience and
- one female candidate with CGPA=2.50 and 3 years of experience.

Which one do you suggest the hospital to hire?

Selection

Selection is a process of *hiring employees among the shortlisted candidates* and providing them a job in the organization.

Selection

The **steps in the selection** process:

- 1) Individuals complete job **application**
- 2) **Initial screening**-to identify eligible candidates
- 3) **Testing** -exams
- 4) **Reference and background investigation** - truthfulness of applicant's CV
- 5) In depth selection **interview**
- 6) **Decision** and Job offer
- 7) **Physical examination**, if required (e.g., for driving positions), may include assessments for vision or hearing difficulties.
- 8) **Introduction and induction** of the new employee to the staff of the organization

Training and development

- is a process designed to *maintain or improve current job performance*
- **Non managers** are much more likely to be trained in the **technical skills** required in their current jobs;
- whereas **managers** frequently receive assistance in developing the **human (Interpersonal) skills, leadership and management skills.**

Importance of training

Training is important:

- To *increasing productivity*.
- *Job satisfaction* to the employee.
- Training enables personnel *gain individual growth*

Performance Appraisal

- It is the **process of reviewing individuals past productive activity** to evaluate **the contribution** they have made toward attaining management system **objectives**.
- It is a **continuous activity of learning from experience**.

Types of performance appraisal

- 1) **Informal appraisal:** - feedback on *day to day* performance (strength / weakness)
- 2) **Formal systemic appraisal:** - A systemic feedback about performance (*semiannually* or *annually*).

Measures of performance appraisal

Basic requirements of a good performance appraisal measure.

- **Relevance** – judgment about how much a particular performance measures *contribute to assess on a given job*.
- **Reliability** – how consistently a measure of performance *applied* to the same employee *by different appraisers*.
- **Fairness** – the extent to which the measure of performance among employees *solely on the basis of difference in performance*.
- **Practicality** – is the extent to which measure of performance can *be applied without excess time and effort*

Promotions, transfers, demotions, and separations

- **Promotions** – moving to a higher position and responsibility
- **Transfers** - shift to other positions.
- **Demotions** – to reduce to lower position and responsibility
- **Separations** –due to resignation, dismissal or retirement

Health financial resources refer to the funds or money available to support the delivery of health services and programs.

Health care financing refers to the mechanisms, processes, and systems used to mobilize, allocate, and use financial resources

Function of healthcare financing

1. Resource Generation (Revenue Collection)
2. Risk Pooling,
3. Resource Allocation, and
4. Provider Payment

Financial resources

Sources of Health Care Finance :

- *Public and quasi-public*
- *Private*
- *International organizations*

Financial resources

Public and quasi-Public Sources

- General ***taxation***
- ***Deficit financing*** (it is borrowing and spending funds in present eg. bonds)
- ***Earmarked taxes*** (It is a particular tax for a particular purpose. For instance, taxes on alcohol, cigarettes)
- ***Community based and social insurance*** (Is a risk-sharing method of health financing usually backed by government)
- ***Lotteries and betting/Gambling/***

Financial resources

Private Sources

- Private health ***insurance***
- ***Employer-finance*** schemes
- ***Charity*** and voluntary contribution
- ***Community-financing*** and ***self-help*** (collecting and managing funds by the local community for health)
- ***Direct household expenditure*** (user fee, OOP)

International Organizations

- WHO
- UNICEF
- WB

Health service financing in Ethiopia

- Health services in Ethiopia are primarily financed by three sources (in 2019/20):
 - Government sources (32%);
 - Donors (34%)
 - Households as out of pocket payment (30.6%)
 - Health insurance about (1.5%)
 - Other sources like private employers (2.5%)

Health service financing in Ethiopia

Question:

Do you think it is problematic for a country to rely on donors to finance its health system?

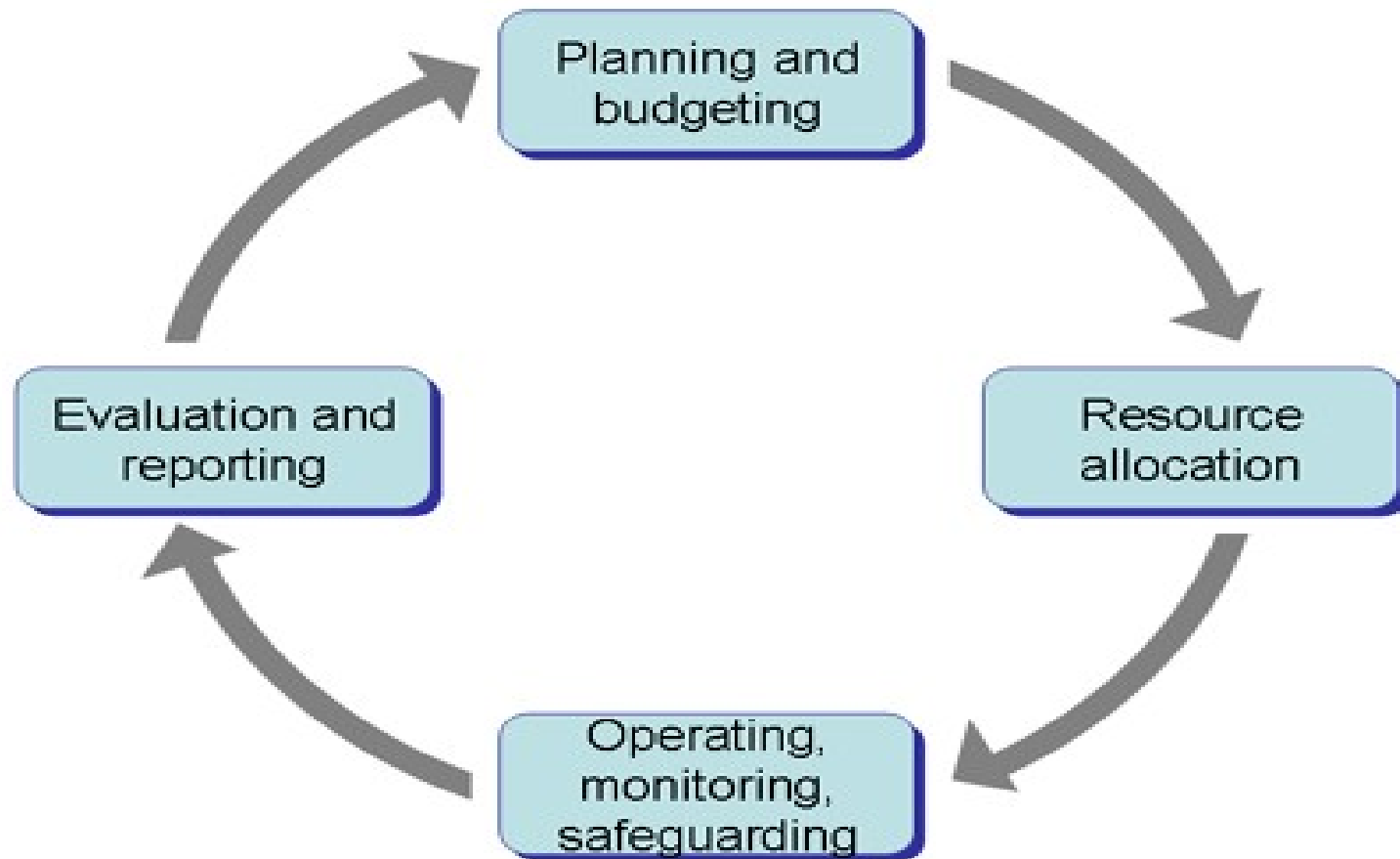
Financial management

Financial management refers to the process of ***planning, organizing, directing, and controlling financial resources*** to ensure efficient and effective delivery of health services.

Financial management functions include:

- (1) *planning and evaluation,*
- (2) *long-term investment decisions,*
- (4) *working capital management,*
- (5) *contract management, and*
- (6) *financial risk management.*

Financial management cycle



Management of materials

Material management is the integrated functioning of **purchasing** and **related activities in the area of materials**.

Materials management aims to ***ensure the availability of quality medical supplies and equipment*** by focusing on:

- ***Timely*** procurement
- ***Adequate*** supply
- ***Lowest cost***

This depends on **effective policies of forecasting, inventory, and materials distribution**.

Management of Materials/equipment

Material/Equipment can be **divided** into:

1) *Expendable /consumable/ recurrent:*

- Are those materials/items that should be **regularly kept in stock** for production purposes or maintenance of the plant and are **used within a short time**, e.g. cotton, detergents, paper, syringes, etc.

2) *Non-expendable/ capital/ non-recurrent:*

- Are those materials/items that are **required for specific purposes or jobs** and **lasts for several years** and ***needs care and maintenance***, e.g. microscopes, vehicles, capital equipment, etc.

Management of Materials/equipment

The **following five activities** generally came within the sphere of materials management.

1.Ordering Equipment

- This is *requesting equipment from suppliers* or shops. (i.e Listing requirements, from a knowledge of past use and estimates of present use).

2.Purchasing

- It is the *procuring of raw materials, components, and services* that the organization needs to achieve its goals.

3. Storing Equipment

- Store keeping is the function of *receiving and storing materials*. In the stores materials are properly stored until drawn by the various using departments.

Management of Materials/equipment

4. Issuing Equipment

- After equipment has been ordered, received, and recorded in the stock-book or ledger, it is *issued for use when it is needed*.

5. Controlling and maintaining equipment

- **Expendable equipment** must be controlled *to avoid wastage*.
- **Non-expendable equipment** must *be maintained*, i.e. kept in good working condition.

Drug management

Managing drug supply is concerned with practical ways to *ensure that high-quality essential drugs are:*

- *available,*
- *affordable, and*
- *used* rationally.

Drug management

Uninterrupted availability of essential drugs are of **particular importance** because **they can:**

- **save lives and improve health, and**
- **promote trust and participation of the community in health services**

The Drug Management Cycle/ The Logistic Cycle

Drug management involves **four basic functions**:

- 1) *Selection,*
- 2) *Procurement,*
- 3) *Distribution, and*
- 4) *Use*

Selection

Selection of drugs involves:

1. *Reviewing* prevalent *health problems*
2. Identifying treatments of choice
3. *Choosing individual drugs* and appropriate dosage forms
4. *Deciding which drugs will be available* at each level of health care

Selection

- Experience has shown that **careful selection of a limited range of essential medicines** results in:
 - *better supply and management of medicines*
 - *higher quality of care*
 - *more rational use, and*
 - *lower costs*

Procurement of drug

This includes

- **quantifying drug requirements,**
- **selecting procurement methods,**
- **establishing contract terms,**
- **ensure drug quality, and**
- **ensure adherence to contract terms.**

Key principles of good pharmaceutical procurement include:

- **Procurement by generic name;**
- **Procurement of the essential drugs;**
- **Formal supplier qualification and monitoring;**
- **Competitive procurement;**
- **Order quantities based on reliable estimate of actual need,**
- **Reliable payment and good financial management;**

Key principles of good pharmaceutical procurement include:

- **transparency and written procedures;**
- **product quality assurance program;**
- **annual audit with published results;**
- **regular reporting of procurement performance indicators.**

Distribution

- This includes stock control, stores management, and **delivery drug to drug depots and health facilities.**
- **Effective drug distribution** relies on **good system design** and **good management.**

Elements of drug distribution system

There are four major elements of a distribution system:

- 1) **System design** -Geographic or *population coverage*, *number of levels* in the system, *degree of centralization in the system*;
- 2) **Information system** -Inventory control, *records and forms*, consumption reports, information flow;

Elements of drug distribution system

- 3) **Storage** -*Selection of sites*, buildings design, materials handling systems, order picking;
- 4) **Delivery** -*collection of drug*, choice of transport, vehicle procurement and maintenance, and *scheduling of deliveries*.

Use of drug

- This includes **diagnosing, prescribing, distributing, and proper consumption by the patients.**

Use of drug

Rational use of drugs requires that patients:

- **receive medications appropriate to their clinical needs,**
- **in doses that meet their individual requirements,**
- **for an adequate period of time, and**
- **at the lowest cost to them.**

- **Ordering more drugs** than are needed cause *wastage*, as some may remain unused after their expiry date.
- **Ordering fewer drugs** than needed results in *shortage*, and patients suffer because they can not be treated.
- It is therefore **essential to estimate approximately how much is needed of each drug**. This may be done on the basis of previous experience in the health centre by formula calculation

Management of Space/buildings

It is concerned with **working places** and **how to make the best of them** in providing health care.

It includes:

- The **buildings/other settings** where health care is given,
- The **geographical/” Catchment’s”** area served by a health centre.

Management of Space/buildings

In order to **use the work area properly** we need to **arrange workspace** and **work flows**

Arranging workspace

- **What work** has to be done **where**?
- Could this **space be arranged** in another way that would ***make the work easies and suit*** the patients better?

Arranging work-flow

- Workflow is an arrangement in which ***series of work functions are coordinated*** in space and time so that ***delays are minimal.***

Management of Space/buildings

- The usual **flow in an outpatient unit** is as follows:

In ➔ Registration

Examination

Laboratory

Treatment room

Pharmacy ➔ Out

- To improve the workflow, **every door should be labelled** so that **patients know** where to go.

Managing time

Time is **not often thought of as a resource**. It is a **non-renewable resource**.

Time is an **important resource** which is **considered** during the **planning process**

How much time spent on different activities *by individual staff* can be answered by keeping a **daily-diary** for a few days.

Managing time

Example- A Table showing a **Daily-diary** of a physician

Time	Patients		People		Administration		Breaks	Remarks
	OPD	Ward s	Staff	Meetings	Office	Stock Inspection		
7:30	1 hr.							
8:30	1 hr							
9:30		1 hr						
10:30			10 min		20 min		30 min	Tea
14:30				1 hr				Weekly

Managing time

Planning time arrangements for work:

Events are written in daily, weekly, monthly or yearly time periods, depending on their frequency or regularity.

- **Time table:** is used for *weekly regular recurring* events.
- **Schedule:** for, *irregular* or *variable events*, including details of where the events take place.

Managing time

Planning time arrangements for work:

- **Roster:** - for *duties planned for different staff members*, for *different times* in short turn.
- **Program:** - for *long term arrangements of several different events* or activities of which the *time plan is only one part*.

End